

Chipotle Mexican Grill, Inc.

Into the 3Q21 Print

Restaurants | Pre Results Comment

CMG

Target price (12M, US\$) **2,075**
Outperform

■ **Considerations into 3Q21 Print:** CMG reports 3Q earnings 10/21 AMC, with a conference call scheduled @4:30PM ET. CMG guided 3Q SSS in the low to mid double-digit range, implying an acceleration in 2-yr SSS to 20-25% (2Q 18.3%). CMG previously noted underlying trends accelerated in June and into July, and we believe SSS remained strong throughout the quarter, supported by ~10% price, increasing consumer mobility, digital, marketing & menu innovation. Sell-side models 3Q SSS of 13.8% (2-yr ~23.2%), in-line with the guide, and we believe buy-side is slightly ahead of sell-side. Industry trends remained strong in 3Q, with Black Box 3Q 2-yr SSS 6.2% (limited service restaurants ~11%), relative to 6.6% in 2Q. During 3Q, CMG enhanced its loyalty program with Extras (early September), launched Smoked Brisket (late September) & offered 14 days of free delivery (10 during Tokyo Olympics, 4 with Smoked Brisket). CMG implied 3Q restaurant margins would be in the 22.5-23% range, relative to sell-side's ~22.6%, with sales the most meaningful driver of margin upside. Sell-side models 3Q EPS of \$6.30. We continue to have high conviction in this rare compounding growth story positioned for double-digit top-line, margin expansion and unit growth acceleration over the years to come.

■ **Labor & Pricing in Focus:** We expect labor and pricing to be key areas of focus during 3Q & into 2022. Labor challenges are constraining industry sales near-term, & restaurants continue to take elevated pricing to offset inflationary pressures that are at least partially permanent. While CMG is not immune to labor issues, we view the company as relatively well positioned given proactive labor investments, including the recent increase to a \$15 average hourly wage, purpose-driven culture aligning with growing trends, strong unit growth supporting career development opportunities & one of the best digital strategies in restaurants, with a digital sales mix of nearly 50% & digital-forward unit prototypes. Pricing of ~10% in 3Q is the highest in at least a decade (likely ~3% from delivery), though CMG has suggested limited customer resistance. While we believe elevated pricing poses a risk in 2022 across the industry, we view CMG as relatively well positioned given its healthy pricing power (& value proposition), and note CMG tends to skew more affluent & younger.

■ **Valuation:** Our \$2,075 TP is based on ~53x/32x our NTM EPS/EBITDA in 12 months.

Financial and valuation metrics

Year	12/20A	12/21E	12/22E	12/23E
EPS (CS adj.) (US\$)	10.73	25.85	34.86	43.33
Prev. EPS (US\$)	-	-	-	-
Revenue (US\$ m)	5,984.6	7,530.2	8,597.1	9,608.3
P/OCF (x)	59.4	46.6	37.7	31.4
EV/EBITDA (current)	85.3	41.5	31.5	26.1
Net debt (US\$ m)	-608	-739	-1,205	-1,925
ROIC (%)	21.38	47.11	58.66	68.79
Number of shares (m)	28.09	IC (current, US\$ m)		1,412.15
Net debt (Next Qtr., US\$ m)	-725.9	Dividend (current, US\$)		-
Net debt/tot eq (Next Qtr., %)	-32.3			

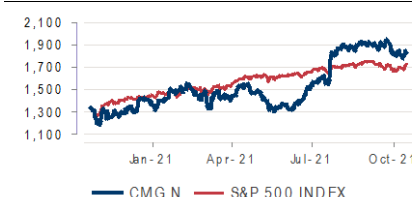
Source: Company data, Refinitiv, Credit Suisse estimates

Price (15 Oct 21, US\$)	1830.93
52-week price range	1944.05 - 1188.54
Enterprise value (US\$ m)	50,701

Research Analysts

Lauren Silberman

Share price performance



On 15-Oct-2021 the S&P 500 INDEX closed at 4471.37Daily
Oct16, 2020 - Oct15, 2021, 10/16/20 = US\$1339.68

Quarterly EPS	Q1	Q2	Q3	Q4
2020A	3.08	0.40	3.76	3.48
2021E	5.36	7.46	6.51	6.52
2022E	7.12	9.31	9.23	9.22

DISCLOSURE APPENDIX AT THE BACK OF THIS REPORT CONTAINS IMPORTANT DISCLOSURES, ANALYST CERTIFICATIONS, LEGAL ENTITY DISCLOSURE AND THE STATUS OF NON-US ANALYSTS. US Disclosure: Credit Suisse does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

Chipotle Mexican Grill, Inc. (CMG)

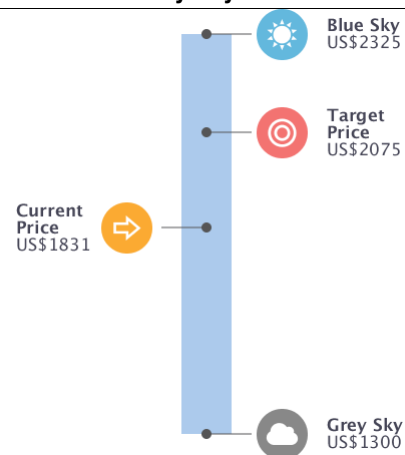
Price (15 Oct 2021): **US\$1830.93**Target Price: **2075.00**Analyst: **Lauren Silberman**Rating: **Outperform**

Income Statement	12/20A	12/21E	12/22E	12/23E
Revenue (US\$ m)	5,984.6	7,530.2	8,597.1	9,608.3
EBITDA (US\$ m)	595	1,222	1,614	1,943
Depr. & amort.	(239)	(261)	(293)	(318)
EBIT (US\$)	356	961	1,321	1,625
Net interest exp	-0	-0	-0	-0
PBT (US\$)	360	961	1,325	1,629
Income taxes	(55)	(226)	(345)	(424)
Net profit (US\$)	305	735	981	1,206
Other NPAT adjustments	0	0	0	0
Cash Flow	12/20A	12/21E	12/22E	12/23E
Cash flow from operations	664	1,118	1,366	1,620
CAPEX	(373)	(402)	(400)	(400)
Free cashflow to the firm	290	716	966	1,220
Cash flow from investments	(433)	(428)	(400)	(400)
Net share issue/(repurchase)	(54)	(498)	(500)	(500)
Dividends paid	0	0	0	0
Changes in Net Cash/Debt	127	131	466	720
Balance Sheet (US\$)	12/20A	12/21E	12/22E	12/23E
Cash & cash equivalents	608	739	1,205	1,925
Account receivables	105	76	76	76
Other current assets	681	679	679	679
Total fixed assets	1,584	1,720	1,827	1,909
Investment securities	102	151	151	151
Total assets	5,983	6,445	7,018	7,820
Total current liabilities	822	835	835	835
Shareholder equity	2,020	2,299	2,871	3,674
Total liabilities and equity	5,983	6,445	7,018	7,820
Net debt	(608)	(739)	(1,205)	(1,925)
Per share	12/20A	12/21E	12/22E	12/23E
No. of shares (wtd avg)	28	28	28	28
CS adj. EPS	10.73	25.85	34.86	43.33
Prev. EPS (US\$)	-	-	-	-
Dividend (US\$)	0.00	0.00	0.00	0.00
Free cash flow per share	10.22	25.18	34.34	43.86
Earnings	12/20A	12/21E	12/22E	12/23E
Sales growth (%)	7.1	25.8	14.2	11.8
EBIT growth (%)	(28.5)	169.6	37.5	23.0
Net profit growth (%)	(23.3)	141.1	33.3	23.0
EPS growth (%)	(23.6)	140.8	34.9	24.3
EBITDA margin (%)	9.9	16.2	18.8	20.2
EBIT margin (%)	6.0	12.8	15.4	16.9
Pretax margin (%)	6.0	12.8	15.4	17.0
Net margin (%)	5.1	9.8	11.4	12.5
Valuation	12/20A	12/21E	12/22E	12/23E
P/E (x)	170.6	70.8	52.5	42.3
Returns	12/20A	12/21E	12/22E	12/23E
ROIC (%)	21.4	47.1	58.7	68.8
Gearing	12/20A	12/21E	12/22E	12/23E
Net debt/equity (%)	(30.1)	(32.1)	(42.0)	(52.4)
Quarterly EPS	Q1	Q2	Q3	Q4
2020A	3.08	0.40	3.76	3.48
2021E	5.36	7.46	6.51	6.52
2022E	7.12	9.31	9.23	9.22

Company Background

Chipotle Mexican Grill operates fast casual restaurants with a focused menu of burritos, tacos, burrito bowls and salads, made using fresh ingredients.

Blue/Grey Sky Scenario



Our Blue Sky Scenario (US\$)

2325.00

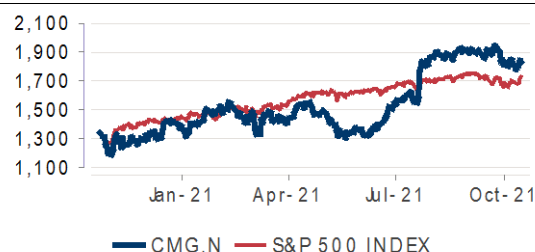
Our \$2,325 one-year blue sky scenario is based on a P/E multiple of ~53x our blue sky FY22 EPS. Our blue sky FY22 EPS is based on: 1) SSS of 9%; 2) unit growth of ~7.5%; and 3) restaurant-level margins of ~26%.

Our Grey Sky Scenario (US\$)

1300.00

Our \$1,300 one-year grey sky scenario is based on a P/E multiple of ~40.5x our grey sky FY22 EPS. Our grey sky FY22 EPS is based on: 1) SSS of 5%; 2) unit growth of ~6.5%; and 3) restaurant-level margins of ~23%.

Share price performance



On 15-Oct-2021 the S&P 500 INDEX closed at 4471.37
Daily Oct16, 2020 - Oct15, 2021, 10/16/20 = US\$1339.68

Source: FTI, Company data, Refinitiv, Credit Suisse Securities (EUROPE) LTD. Estimates

Considerations for 3Q21 and 2021

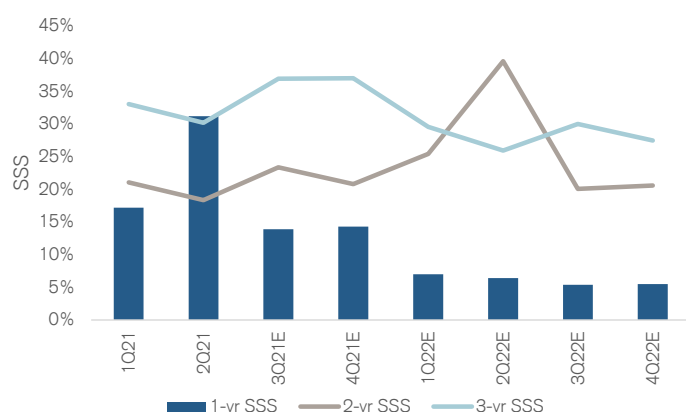
SSS

For 3Q21, sell-side models SSS of 13.8%, noting CMG guided 3Q SSS in the low to mid-double digit range, implying 2-yr SSS accelerate to 20-25% (2Q21 2-yr SSS ~18.3%). CMG previously noted trends accelerated in June and into July. 3Q21 will include a full quarter of the 3.5-4% price increase implemented in early June, with price to contribute ~10% to SSS.

During 3Q:

- **Digital:** On 6/23, CMG launched Chipotle Rewards Exchange, expanding its loyalty program to offer multi-tier redemption (previously redeem for free entrée only). On 9/1, CMG enhanced its loyalty program with the launch of Extras, allowing loyalty members to earn extra points & achievement badges through personalized challenges.
- **Menu Innovation:** CMG launched Smoked Brisket nationwide, first available exclusively to rewards members through digital channels on 9/21, to all customers in-restaurant and through digital channels 9/23, and expanded to third-party delivery apps on 9/27. CMG also announced it was testing Plant-Based Chorizo in select markets in mid-August.
- **Marketing:** CMG aired its first national TV commercial that featured a professional athlete, which premiered on 7/5 during the Women's National Team game vs Mexico. The brand also featured partner athletes' favorite bowls & burritos. CMG introduced gold foil packaging on 7/23 to celebrate the Tokyo Olympics.
- **Promotions:** CMG offered a BOGO promotion on 7/6 after 3PM in support of vaccination efforts. CMG aired TV commercials throughout the NBA Finals, giving away \$1MM in free burritos, with each commercial including a hidden keyword to unlock 10-40K burritos per ad/game. On 7/31, National Avocado Day, CMG offered free guacamole through the brand's digital channels. During 3Q21, CMG offered 14 days of free delivery, relative to 6 in 3Q20 and 9 in 3Q19.

Figure 1: Consensus estimates 3Q21 SSS of 13.8%, implying 2-yr SSS of 23.2%, and 4Q21 SSS of 14.5%, implying 2-yr SSS of 21%.



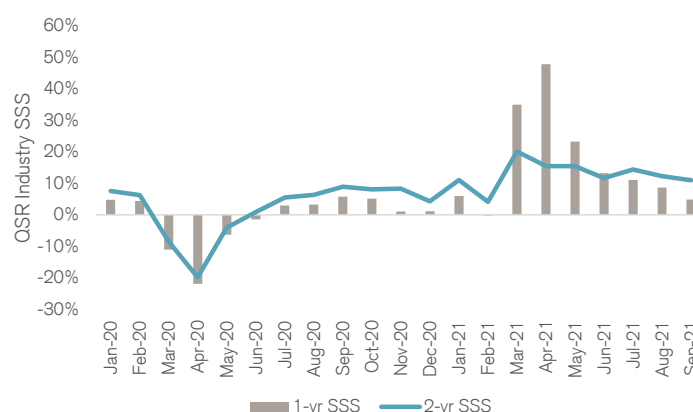
Source: Company data, Consensus Metrix

Note: Represents compounding 2-yr and 3-yr SSS.

Digital

Digital represents nearly 50% of overall sales (order ahead 25%+), and we expect the digital mix to settle at ~40% of sales in a normalized environment, noting: 1) CMG is retaining ~80% of digital sales even as in-restaurant traffic rebounds; 2) markets that have been open longer (e.g., Southeast, Florida, etc.) have digital mixes of ~40%; 3) digital customers tend to be

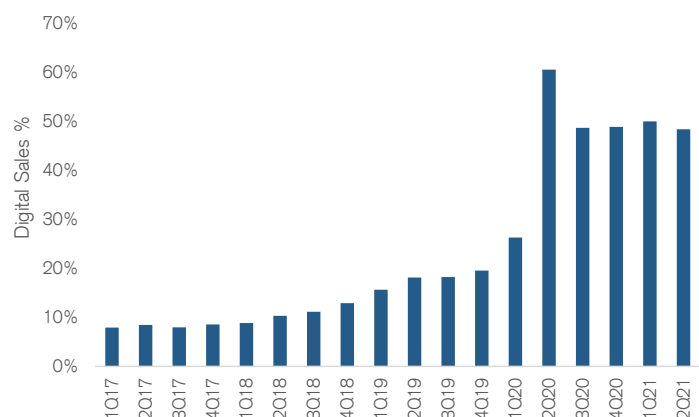
Figure 2: Based on QSR data, trends remained relatively strong in 3Q, with 2-yr SSS in July 14.4%, August 12.3% & September 11%. CMG generally outperforms the QSR index.



Source: MillerPulse, Credit Suisse

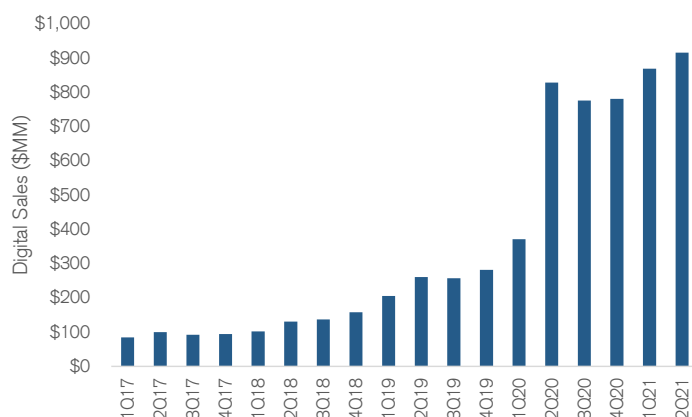
stickier; 4) CMG was already reaching a digital sales mix as high as 30% in some restaurants pre-COVID; 5) Chipotlanes, which have been running a digital mix of ~60%, will become a bigger part of the portfolio (10%+ of asset base by end of 2021); and 6) select digital-forward fast casual peers were already generating high digital utilization pre-COVID (digital represented ~35% of Panera sales & 50%+ of Sweetgreen orders pre-COVID). We believe ongoing enhancements to the loyalty program will fuel growth and continued digital utilization.

Figure 3: Digital represents nearly 50% of CMG's sales mix, up from ~20% in 2019 & ~13% in 2018.



Source: Company data, Credit Suisse estimates

Figure 4: CMG generated nearly \$1.8BN in digital sales in 1H21, with annualized digital sales of ~\$1.3MM per unit.



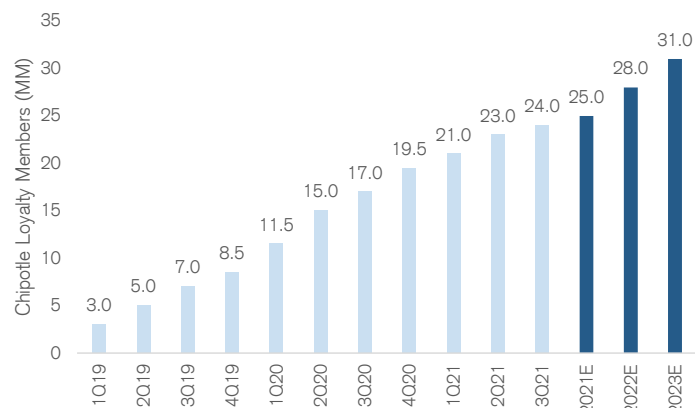
Source: Company data, Credit Suisse estimates

We view CMG as better positioned than nearly every other large restaurant chain to capitalize on digital, supported by CMG's younger and more affluent customer base, transportable food, best-in-class operations with separate in-store and digital production lanes and no traditional drive-thrus – enhancing the perception of convenience from digital access. CMG's secondary production lines (digital make-lines) assemble digital orders without disrupting the main production line, effectively offering the ability to nearly double restaurant capacity.

Loyalty

Chipotle Rewards has grown to 24MM+ members after launching in March 2019. On 6/23, CMG introduced Chipotle Rewards Exchange, expanding its loyalty program to offer multi-tier redemption, which effectively lowers the entry point into the rewards program and offers customers the opportunity to redeem rewards at a lower spend level (now \$25 spend vs \$125 previously). On 9/1, CMG enhanced its loyalty program with the launch of Extras, allowing loyalty members to earn extra points & achievement badges through personalized challenges.

Figure 5: CMG has grown its loyalty program to 24MM+ members in ~2.5 years, one of the fastest growing programs in restaurants.



Source: Company data, Credit Suisse estimates

Delivery

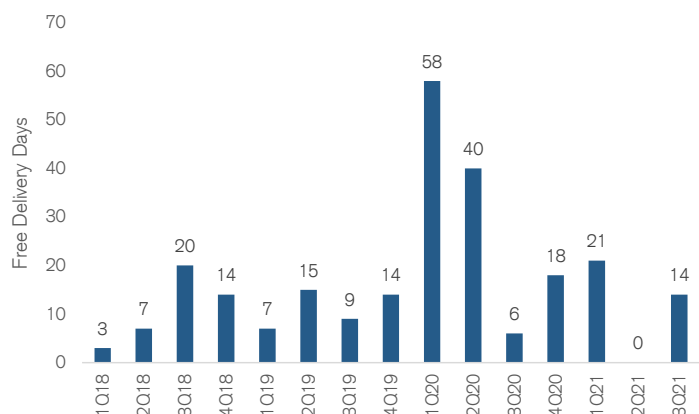
Delivery currently represents 20-25% of CMG's sales mix, up from ~10% pre-COVID, with a ~60%/40% split between third-party marketplace and white label delivery orders.

Delivery is CMG's least margin accretive channel, as CMG generally pays a commission based on a percentage of the order value for orders placed through third-party platforms and a per order fee to DoorDash for orders placed through CMG's direct channels.

In 3Q21, CMG offered 14 days of free delivery, including 10 days during the Tokyo Olympics (7/23-8/1) and 4 days at the end of the quarter for orders that included the newly launched Smoked Brisket (free delivery offered 9/27-10/3). This compares to 6 days of free delivery in 3Q20, which were offered as part of a Monday Matchup (offered Mondays 8/24-9/28).

CMG raised delivery menu prices in September 2020 to an average of ~13%, and again increased prices another 4% in April to an average of ~17% above in-store prices. CMG has suggested delivery is still margin dilutive, though the brand has largely recouped margin dollars lost, with potential opportunity to further increase prices to fully offset the margin headwind.

Figure 10: CMG offered 14 days of free delivery in 3Q21, including 10 days during the Tokyo Olympics & 4 days related to the launch of Smoked Brisket at the end of the quarter.

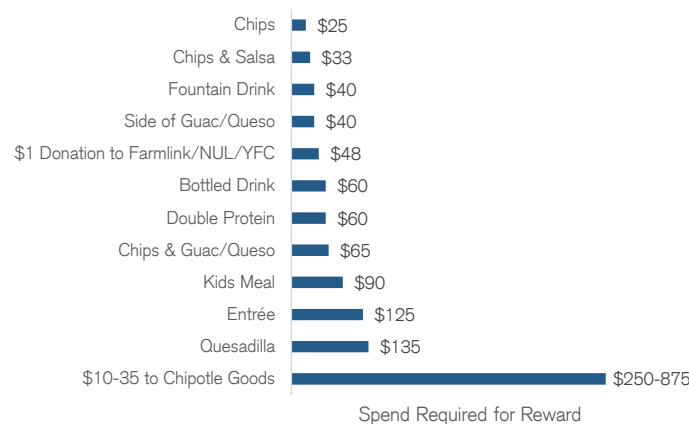


Source: Company data, Credit Suisse

Menu Innovation

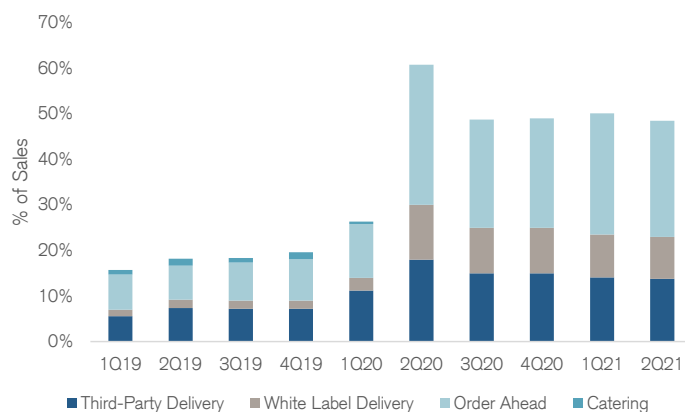
Chipotle Mexican Grill, Inc.

Figure 6: Chipotle expanded its loyalty program at the end of June to offer multi-tier redemption, lowering the entry point for customers to start redeeming rewards.



Source: Company data, Credit Suisse

Figure 11: Delivery represents 20-25% of sales, up from ~10% pre-COVID, with a ~60%/40% split between third party marketplaces and white label in-app delivery.



Source: Company data, Credit Suisse estimates

Note: Assumes catering sales mix of 1% in 1Q/3Q and 1.5% in 2Q/4Q in 2019.

- **Smoked Brisket** – CMG launched Smoked Brisket nationwide, first available exclusively to rewards members through digital channels on 9/21, to all customers in-restaurant and through Chipotle digital channels 9/23, and expanded to third-party delivery apps on 9/27.
- **Quesadillas** – On 3/11, CMG launched quesadillas, the #1 most requested new menu item, as a digital-only item following a long stage-gate testing process to improve operational challenges. As of late April, quesadillas were running at a ~10% incidence mix, with CMG noting the item drove high penetration of new customers and had a higher attach rate than burritos & bowls. We believe this mix implies the average store is selling ~75 units per day per store, and assuming ~75% incrementality, would imply 6-8% SSS contribution.
- **Plant-Based Chorizo** – In mid-August, CMG announced it was testing Plant-Based Chorizo in select markets including Denver and Indianapolis.

We believe the new equipment for the quesadilla and digital-only nature of the quesadilla are supportive of future innovation that could be executed off of the front line, with potential items such as nachos, enchiladas & churros. We expect CMG to launch 2-3 new products a year.

Marketing & Social Media

CMG leverages traditional and nontraditional channels to connect with its audience and encourage engagement. The brand frequently collaborates with influencers and celebrities that are organic Chipotle fans across different channels, has a featured section in its app for favorite menu items from collaborations and is increasingly leveraging its loyalty program as a channel to connect with its member base. The brand's promotions generally require engagement from fans or are connected to a social cause.

In mid-June, CMG began featuring the go-to orders of American Athletes with the "Team Chipotle" menu on digital channels, released episodes of its "Unwrapped" video series and aired its first national TV commercial on 7/5 featuring a professional athlete. CMG also aired TV commercials during the 2021 NBA finals in July, with each commercial featuring a hidden keyword for fans to unlock 10-40K burritos. CMG offered a BOGO promotion on 7/6 after 3PM in support of vaccination efforts. CMG introduced gold foil packaging on 7/23 to celebrate the Tokyo Olympics. On 9/9, CMG announced the launch of the first-ever Creator Class, with the brand to engage with a select group of influencers to help continue to drive growth.

CMG has also enhanced its loyalty program over the last several months with the launch of Rewards Exchange (multi-tier redemption) and Extras (gamification).

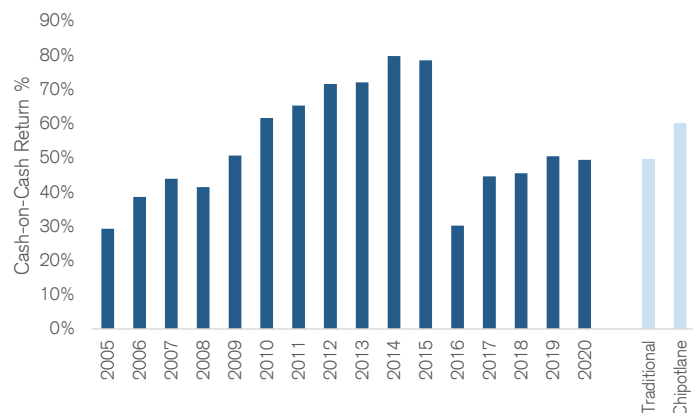
Unit Growth

CMG expects to open 200+ units in 2021, with ~70% of the new class to include a Chipotlane. We model 200 net new units in 2021 and an incremental 10-15 units per year following, translating to ~7% unit growth over the next few years. Compelling and improving new unit returns and an expanding portfolio of prototypes support our confidence in the growth outlook.

CMG has historically demonstrated among the best new unit economics in restaurants given its simplistic operating structure, high AUVs, strong new unit productivity and labor leverage. At peak in 2014/2015, CMG was demonstrating cash-on-cash returns of 70-80%. Currently, we estimate cash-on-cash returns of a traditional prototype are trending at 40-50%, while Chipotlanes are likely closer to 50-60%, noting CMG has suggested it is on path to 80-100%. Chipotlanes add an incremental investment cost of \$75-100K, though returns are ~10pp higher given higher overall sales, digital sales, digital mix and margins.

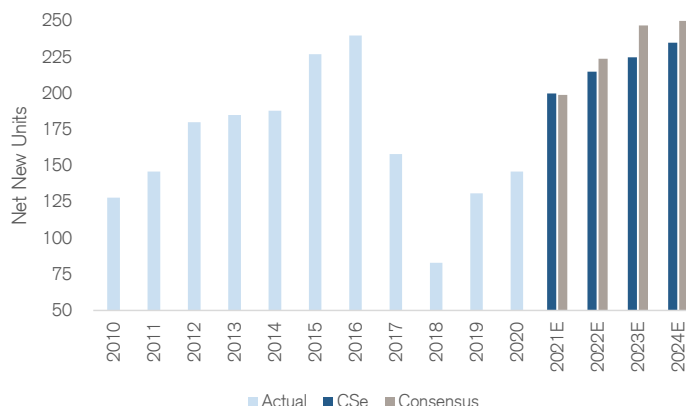
CMG is targeting a total unit potential of ~6,000 US units, from ~2,900 currently, noting the company continues to expand its total addressable market potential as it adds new formats. CMG started testing Chipotlanes in late 2018/early 2019, and has since accelerated the rollout of the digital-forward prototype, with 10%+ of the asset base expected to include a Chipotlane by the end of 2021. In late 2020, CMG opened its first digital-only restaurant, noting plans for future digital-only units, and opportunities to further expand into urban markets in sites that would otherwise be unsuitable for a traditional restaurant.

Figure 12: We estimate CMG is demonstrating cash-on-cash returns of 40-50% for traditional restaurants and 50-60% for Chipotle restaurants.



Source: Company data, Credit Suisse estimates

Figure 13: We model 200 net new units in 2021 and ~10-15 incremental per year following, implying unit growth of ~7% over the next few years.



Source: Company data, Consensus Metrix, Credit Suisse estimates

Restaurant Margin

Sell-side models a restaurant margin of ~22.6% in 3Q, largely in-line with CMG's guide, which implies a restaurant margin of ~22.5-23%. For 4Q, sell-side models 22.8%.

COGS

For 3Q21, CMG guided COGS in-line or slightly above 2Q's 30.4%, with benefits from menu price increases to be offset by elevated cost pressures, most notably with beef and freight, and supplier staffing challenges. Sell-side models COGS of ~30.5% in 3Q21 and ~30.3% in 4Q21.

Labor

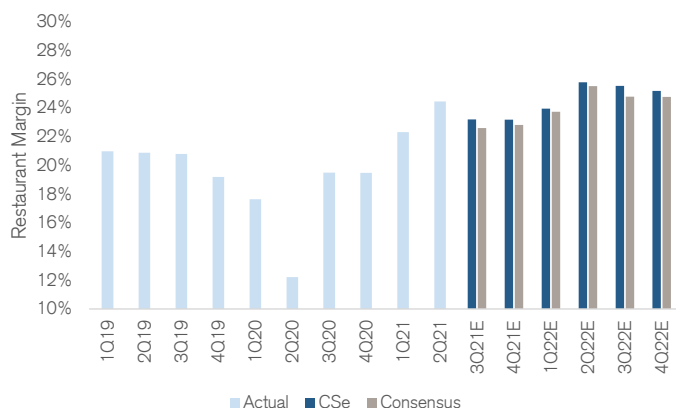
For 3Q21, CMG guided labor in the low 26% range, relative to 24.5% in 2Q, with the sequential increase to reflect a full quarter of the wage increase (reflected one month in 2Q). Sell-side models labor of ~26% in 3Q21 and ~25.7% in 4Q21.

Occupancy

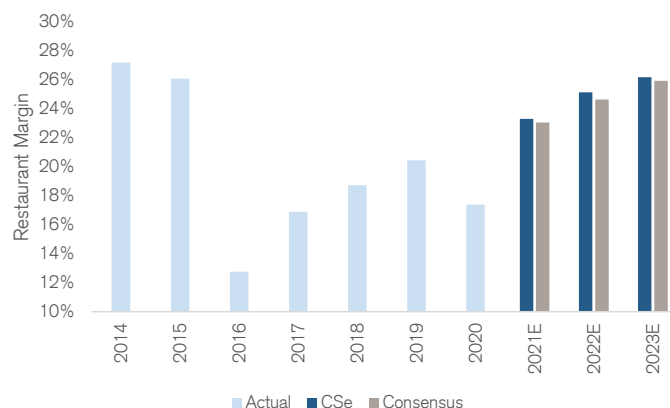
For 3Q21 & 4Q21, sell-side models occupancy of ~5.5%.

Other Operating Expenses

For 3Q21, CMG guided other opex in the mid-15% range, including marketing in the mid-2% range (~3% for the full year). Sell-side models other opex of ~15.4% in 3Q21 and ~15.6% in 4Q21.

Figure 14: Consensus models a restaurant margin of ~22.6% in 3Q21 and ~22.8% in 4Q21.

Source: Company data, Consensus Matrix, Credit Suisse estimates

Figure 15: Consensus estimates imply restaurant margins of ~23.1% in 2021, ~24.7% in 2022 & ~26% in 2023.

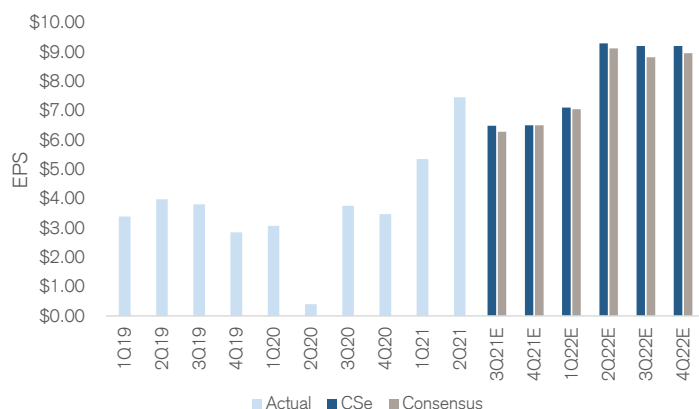
Source: Company data, Consensus Matrix, Credit Suisse estimates

EPS

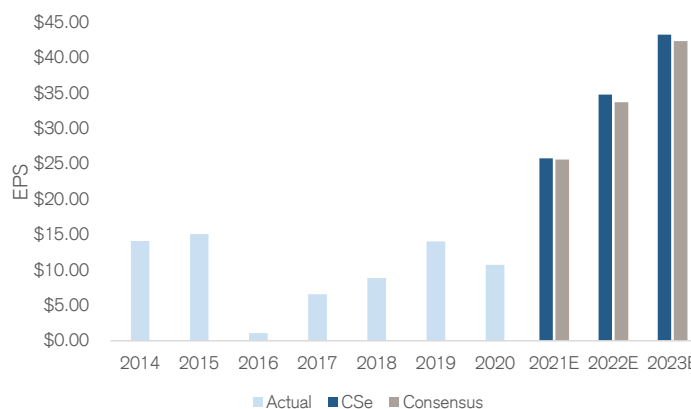
Sell-side models 3Q21 EPS of \$6.30, representing a ~65% increase from 3Q19's \$3.82, and embeds expectations for SSS of ~13.8% (2-yr SSS ~23.2%) and a restaurant margin of ~22.6%. The ~\$2.50 increase is largely driven by higher revenue, and better food, labor and occupancy margins, partially offset by higher other operating cost margins.

For 2021, consensus models EPS of \$25.63, ~82% above 2019 EPS of \$14.05. The increase is largely driven by higher revenue, and better food, labor and occupancy margins; partially offset by higher other operating cost margins. Consensus models a 2021 restaurant margin of ~23.1%, ~260bps higher than 2019, including improvement of ~280bps in food, ~100bps in labor and ~90bps in occupancy, partially offset by ~210bps of contraction from higher other operating expenses, largely driven by a higher delivery mix.

Consensus models 2022 EPS of \$33.75, +32% YOY. Estimates embed SSS of 6.1% and a restaurant margin of 24.7%, with ~160bps of expansion from 2021 driven by ~35bps in food, ~20bps in labor, ~25bps in occupancy and ~80bps in other operating expenses.

Figure 16: Consensus models 3Q21 EPS of \$6.30, up ~65% from 3Q19.

Source: Company data, Consensus Matrix, Credit Suisse estimates

Figure 17: Consensus models EPS of \$25.63 in 2021, ~82% above 2019 earnings power, and growth of ~32% in 2022.

Source: Company data, Consensus Matrix, Credit Suisse estimates

Valuation Methodology and Risks

Target Price and Rating

Valuation Methodology and Risks: (12 months) for Chipotle Mexican Grill, Inc. (CMG.N)

Method: Our \$2,075 target price and Outperform rating is based on ~32x our NTM EBITDA in 12 months & ~53x our NTM EPS in 12 months.

Risk: Key risks to our Outperform rating \$2,075 price target include: food safety headlines, competition and food safety. Chipotle's headline risk is still elevated as multiple food safety incidents have emerged over the last few years, with brand perceptions which are likely still sensitive. In recent years, there has been an emergence of smaller competitors delivering on attributes that have differentiated Chipotle for many years, offering high quality food at reasonable prices, many of which are similarly mission-driven and locally sourced.

Companies Mentioned (Price as of 15-Oct-2021)

Chipotle Mexican Grill, Inc. (CMG.N, \$1830.93, OUTPERFORM, TP \$2075.0)

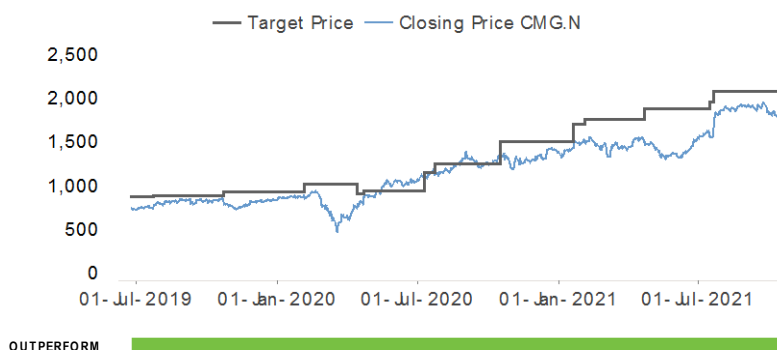
Disclosure Appendix

Analyst Certification

I, Lauren Silberman, certify that (1) the views expressed in this report accurately reflect my personal views about all of the subject companies and securities and (2) no part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this report.

3-Year Price and Rating History for Chipotle Mexican Grill, Inc. (CMG.N)

CMG.N	Closing Price	Target Price	
Date	(US\$)	(US\$)	Rating
25-Jun-19	733.22	870.00	O *
24-Jul-19	777.96	880.00	
23-Oct-19	788.19	930.00	
05-Feb-20	854.01	1010.00	
13-Apr-20	744.08	900.00	
22-Apr-20	882.26	940.00	
09-Jul-20	1115.58	1150.00	
23-Jul-20	1121.03	1250.00	
16-Oct-20	1339.68	1500.00	
19-Jan-21	1429.48	1700.00	
03-Feb-21	1499.99	1760.00	
22-Apr-21	1480.00	1875.00	
15-Jul-21	1581.86	1950.00	
21-Jul-21	1755.99	2075.00	



* Asterisk signifies initiation or assumption of coverage.

As of December 10, 2012 Analysts' stock rating are defined as follows:

Outperform (O) : The stock's total return is expected to outperform the relevant benchmark* over the next 12 months.

Neutral (N) : The stock's total return is expected to be in line with the relevant benchmark* over the next 12 months.

Underperform (U) : The stock's total return is expected to underperform the relevant benchmark* over the next 12 months.

**Relevant benchmark by region: As of 10th December 2012, Japanese ratings are based on a stock's total return relative to the analyst's coverage universe which consists of all companies covered by the analyst within the relevant sector, with Outperforms representing the most attractive, Neutrals the less attractive, and Underperforms the least attractive investment opportunities. As of 2nd October 2012, U.S. and Canadian as well as European (excluding Turkey) ratings are based on a stock's total return relative to the analyst's coverage universe which consists of all companies covered by the analyst within the relevant sector, with Outperforms representing the most attractive, Neutrals the less attractive, and Underperforms the least attractive investment opportunities. For Latin America, Turkey and Asia (excluding Japan and Australia), stock ratings are based on a stock's total return relative to the average total return of the relevant country or regional benchmark (India - S&P BSE Sensex Index); prior to 2nd October 2012 U.S. and Canadian ratings were based on (1) a stock's absolute total return potential to its current share price and (2) the relative attractiveness of a stock's total return potential within an analyst's coverage universe. For Australian and New Zealand stocks, the expected total return (ETR) calculation includes 12-month rolling dividend yield. An Outperform rating is assigned where an ETR is greater than or equal to 7.5%; Underperform where an ETR less than or equal to 5%. A Neutral may be assigned where the ETR is between -5% and 15%. The overlapping rating range allows analysts to assign a rating that puts ETR in the context of associated risks. Prior to 18 May 2015, ETR ranges for Outperform and Underperform ratings did not overlap with Neutral thresholds between 15% and 7.5%, which was in operation from 7 July 2011.*

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Neutral/Hold*	34%	(22% banking clients)
Underperform/Sell*	9%	(20% banking clients)
Restricted	2%	

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